Whether it’s a straw basket or a Birkin bag, it actually doesn’t matter how much the bag costs (or how much the fees are) — what truly matters is what’s inside.

A hedge fund’s main purpose is to maximise returns and remove as much risk as possible.

They’re called hedge funds, not because of anything related to plants, but rather due to a technique called ‘hedging’. You may have heard people say they’re ‘hedging their bets’, meaning they’re trying to minimise their risk. Hedging is an investment technique to offset the risk of other investments. For example, if you invest in Apple in the hope that it goes up, you can also hedge your bet so that if it goes down in price, you still make money regardless.

Hedge funds basically try to make money regardless of whether the market goes up or down. It’s kind of clever.

So are they worth the hype and all those fees?

In 2008, Warren Buffett, one of the most successful stock market investors in the world, made a 10-year bet to see if hedge funds could beat someone investing in the S&P 500. Warren chose Vanguard’s S&P 500 Admiral fund (an index fund that goes by the ticker VFIAX). (A ticker is a symbol made up of two to five letters given to every stock or fund, a bit like a car numberplate, e.g. GOOG for Alphabet Inc, the parent company of Google).

Buffett believed that including fees, costs and expenses, passive investing into the S&P 500 was a better strategy than active investing, given their notoriously high fees and the lack of data that supports active investing. Buffett found a hedge fund, Protégé Partners, to take on the bet. The loser would have to donate $1 million to charity. So who would win: the passive index fund or the exclusive and prestigious hedge fund?

In May of 2017, several months before the competition ended, the hedge fund owner wrote an open letter: ‘the game is over, I lost’.

It was a huge shock to the investment industry that a passive fund with a fee of 0.04 per cent could outperform a hedge fund that would be charging 2 per cent in fees and 20 per cent of profits. Billions are poured into the hedge fund industry, and yet a passive investor with access to an S&P 500 index fund or ETF could outperform hedge funds? Phenomenal.